

Conclusion

If the management had been taking 20 crores of fixed salary, it would have been a **red flag**.

- This would indicate that their interests are not aligned with the shareholders.
- They are primarily interested in the salary that they have drawn from the company.

Majority data is available in 2 sections of the annual report that allow us to assess each company. These sections are the **Corporate Governance Report and Directors Report**.

We can conclude that

- Our interests should align with the management
- The management does not hold a significant number of stocks in any other company.
- The company serves as the primary source of income for the management.
- Management's compensation plan must be long term stock performance related.

If these conditions are satisfied, then you are good to go!